TeamAIR01 · IIIT Delhi

MERCHANT GROWTH AI TRACK

Built on Sarvam AI

Paytm Saathi

An AI business partner for every Paytm merchant.
One conversation to plan, approve and act.

> "Weekend ke liye ₹5,000 ke andar stock arrange karo" →
> ₹4,650 plan, approved, ordered, tracked.

01 Prerak Tanwar
02 Garv Jain
03 Mukul Yadav



1.3 Cr kiranas in India

1.64 Cr paying Paytm merchants

22 Indian languages heard

100% spends merchant-approved

EXECUTIVE SUMMARY

Saathi turns a merchant's spoken goal into an approved, verified action inside Paytm

The problem

- 1.3 crore kiranas; 98% run by one person
- 74% struggle to order stock, 54% can't see margins
- Payments are digital; decisions are still manual

The solution

- Voice-first agent in Hindi, Hinglish and regional languages
- Plans with evidence, asks approval, executes, tracks
- Built on Sarvam AI and Paytm payment APIs

What we built

- Stock planning: ₹4,650 plan, shortage, ₹4,850 re-plan
- Dues collection: payment link, 4-field verification
- Staging-ready Paytm adapters, full audit log

Why it wins

- Acts, not just answers, with approval on every rupee
- Ships to 1.64 Cr paying Paytm merchants, no new device
- ₹97 Cr/yr at 5% Pro adoption (illustrative)

NEXT STEP Paytm staging credentials and a pilot cohort of kiranas to measure time saved, dues collected and stockouts avoided.

Sources: Invest India; Flourish and 60 Decibels; CNBC-TV18 (Q2 FY27). Revenue figure uses our assumptions.

01 · PROBLEM STATEMENT

A single owner runs ordering, credit and accounts by memory, across five tools



8 AM Shelves checked by eye

11 AM Distributors called for prices

3 PM Udhaar chased on WhatsApp

9 PM Cash, UPI, notebook reconciled

1.3 Cr
kirana stores in India

98%
run by a single person

What kirana owners report

Problems ordering and receiving stock	74%
Inventory and placement challenges	60%
No visibility into profit and margins	54%
Shoppers who regularly buy on credit	33%

Sources: Invest India (store count, single-owner share); Flourish Ventures and 60 Decibels kirana survey (bars)

01 · WHY NOW

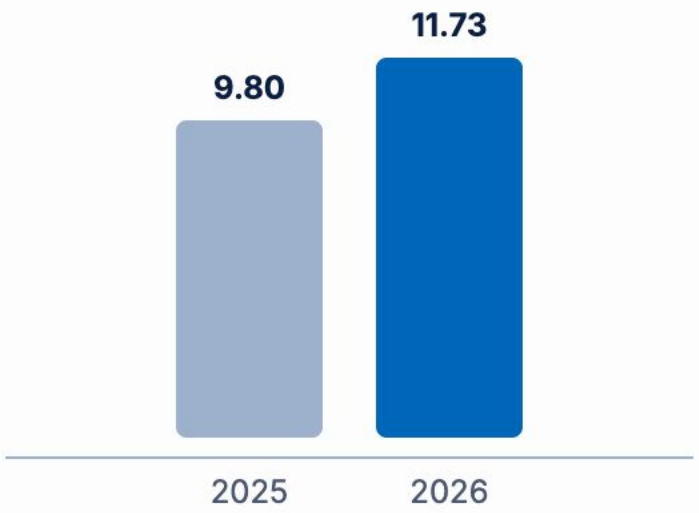
Paytm's merchant base and UPI volumes keep compounding; the voice habit already exists

Paytm subscription merchants (crore)



+27 lakh paying merchants in a year

Digital merchant payments, July (₹ lakh crore)



+19.6% YoY; 77.3% via UPI P2M

24.07 bn

UPI transactions in Sep 2026, ₹29.37 lakh crore

11 languages

spoken by Paytm's AI Soundbox (Oct 2025)

₹30 L Cr

MSME credit gap; better records, better loans

Sources: Paytm Q1 FY27 release, Q4 FY26 release, CNBC-TV18; Equirus via IANS; NPCI via Outlook Money; Angel One; SIDBI (2025)

Each tool covers one silo; none plans and acts across them with approval

Product category	Voice	Insights	Udhaar	Stock	Ordering	Acts
Paytm AI Soundbox	● Core	● Core	○ No	○ No	○ No	○ No
Other soundboxes (PhonePe, GPay)	◐ Alerts	○ No	○ No	○ No	○ No	○ No
Ledger apps (Khatabook, OkCredit)	○ No	◐ Partial	● Core	○ No	○ No	◐ Reminders
Billing apps (Vyapar, POS)	○ No	◐ Partial	◐ Partial	● Core	○ No	○ No
B2B ordering (Udaan)	○ No	○ No	○ No	○ No	● Core	◐ Orders
Paytm Saathi	● Core	● Core	● Core	● Core	● Core	● Core

Today the merchant is the integration layer between these apps

Saathi coordinates them; it extends, not replaces, the AI Soundbox

● core focus · ◐ partial · ○ not a core focus, per public product descriptions. “Acts” = multi-step execution with approval.

02 · PROPOSED SOLUTION

One agent loop: hear, ground in evidence, plan, get approval, execute, verify



Merchant says	Intent	Evidence used	Output	Approval
“Weekend ke liye ₹5,000 ke andar stock arrange karo”	Restock	Sales, stock, quotes	6-item order, ₹4,650	Yes
“Aman Stores ka pending payment collect karo”	Collect due	Invoices, payments	Paytm payment link	Yes
“Aaj mere business mein kya important hai?”	Daily brief	Sales, dues, stock	3 priorities, cited	No

02 · WHERE THE DATA COMES FROM

Useful on day one, even without a POS: Saathi builds the merchant's records as it goes

LEVEL 1 · DAY ONE

Payments + voice

- Paytm payment amounts
- Spoken udhaar and dues

Unlocks: brief, dues

LEVEL 2 · WEEK ONE

+ Bill photos

- Bills read by Sarvam Vision
- Item catalog, buy prices

Unlocks: price compare

LEVEL 3 · CONNECTED

+ POS / billing

- Item-level sales
- Live stock and invoices

Unlocks: precise reorder

Question Saathi answers	Level 1	Level 2	Level 3
Who owes me money?	✓ Yes	✓ Yes	✓ Yes
Which supplier is cheaper?	Asks for bills	✓ Yes	✓ Yes
What should I reorder?	Asks for data	Estimate	✓ Precise



Payment data alone never reveals item-level sales or stock; Saathi says what is missing. Sarvam Vision: document intelligence model.

“Weekend ke liye ₹5,000 ke andar stock arrange karo”: 8 steps, 2 approvals

Merchant	1 Asks by voice, budget ₹5,000			4 **Approval 1** for ₹4,650			8 **Approval 2** for ₹4,850
Saathi		2 Pulls sales, stock, quotes	3 Plans 6 items, ₹4,650			7 Re-plans via Supplier B	
Systems					5 Supplier order created	6 Shortage: oil out of stock	

Delivered: inventory +31 units, both approvals logged

Final spend ₹4,850: ₹150 under the ₹5,000 limit

Every line is traceable to sales, stock and a supplier quote

Item	Sold/wk	Stock	Order	Unit ₹	Total ₹
Atta 10 kg	6	2	4	380	1,520
Rice 5 kg	5	2	3	310	930
Sugar 1 kg	20	8	12	42	504
Toor dal 1 kg	8	3	5	150	750
Sunflower oil 1 L	9	4	5	136	680
Tea 250 g	6	4	2	133	266
Plan total			31		4,650

Order = expected weekend demand minus current stock, rounded to pack size.



Shortage handling

Sunflower oil × 5: Supplier A at ₹136 is out of stock. Supplier B at ₹176 adds **₹200**. New total ₹4,850 needs a second approval.

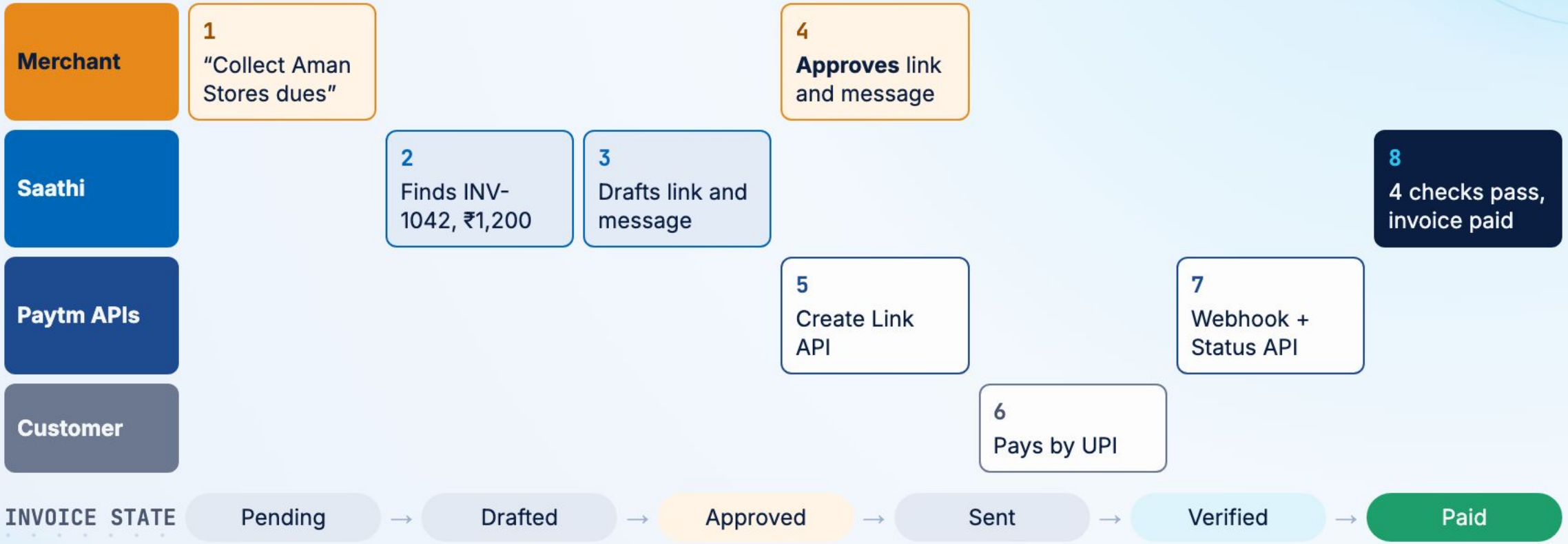
Sales: 4-week POS history

Stock: inventory records

Prices: 2 supplier quotes

02 · WORKFLOW 2: DUES COLLECTION · SEQUENCE

An invoice closes only after Paytm confirms merchant, order, amount and status





02 · SAATHI × PAYTM AI SOUNDBOX

From a soundbox that talks to one that gets work done

TODAY · AI SOUNDBOX

Conversations in 11 languages, business summaries and payment insights

WITH SAATHI

Multi-step tasks: plan stock, order, collect dues, track to done

- Press the Paytm Button, speak the goal
- Saathi reads the plan aloud on the device
- Approval on the touchscreen or phone

Proposed integration: no public Soundbox developer API is available, so the prototype runs voice in-app via Sarvam Saaras and Bulbul.

Source: Paytm AI Soundbox launch at Global Fintech Fest 2025 (Angel One, FoneArena)

02 · PROTOTYPE

Four screens, one partner

Merchant home
AI insights and quick actions

Voice assistant
Hindi / English, tap to speak

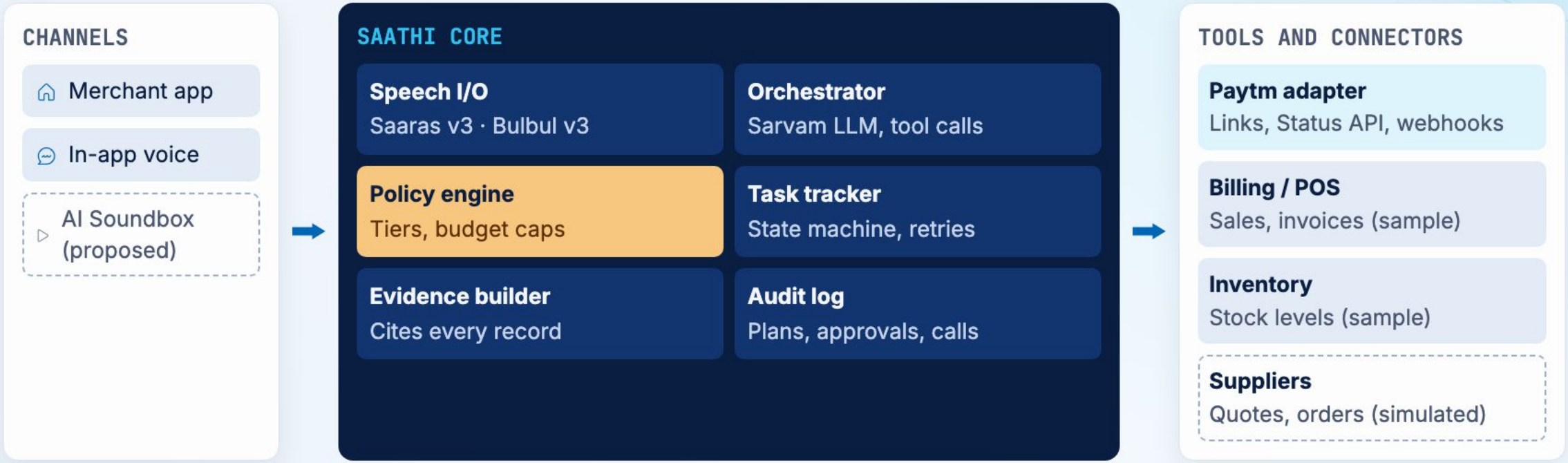
Daily report
From connected records only

Task inbox
Approve, track, follow up



03 · SYSTEM ARCHITECTURE

A policy-gated agent core between merchant channels and business systems



PostgreSQL: catalog, sales, stock, invoices, tasks

Event queue: webhooks wake the task tracker

Dashed = proposed or simulated in the prototype

03 · AGENT DESIGN

The LLM never touches money directly: it acts only through typed, permissioned tools

Tool	What it does	Source	Side effect	Approval
get_sales_summary	Sales by item and period	Billing / POS	None	No
get_inventory	Current stock levels	Inventory	None	No
get_supplier_quotes	Prices and availability	Suppliers	None	No
plan_restock	Order within the budget	Tools above	Draft	No
create_supplier_order	Places the approved order	Suppliers	Spends	Yes
create_payment_link	Paytm link for an invoice	Paytm Link API	Sends	Yes
check_txn_status	Verifies payment status	Paytm Status API	None	No
update_invoice	Marks invoice paid	Billing	Writes	After verify

Write tools need a one-time approval token tied to amount

Schema-validated inputs; amounts computed in code, not by the LLM

03 · TECHNOLOGY STACK

Indic-first AI from Sarvam, payments from Paytm, a lean web stack around them



Layer	Technology	Why we chose it
Voice in	Sarvam Saaras v3	22 Indian languages + English, handles code-mixed Hinglish
Reasoning	Sarvam-105B / 30B	Indic-tuned chat models with tool calling
Voice out	Sarvam Bulbul v3	Natural speech in 10 Indian languages + English
Translation	Sarvam Mayura	Messages to customers in their own language
Frontend	Next.js, React, TypeScript	Installable PWA for low-end Android, offline shell
Backend	Python, FastAPI	Async tool layer, policy engine, Sarvam SDK
Data	PostgreSQL + Redis	ACID orders and audit log; Redis for queue and tokens
Payments	Paytm Links, Status API	Checksum-signed calls, S2S webhooks for status

Sources: Sarvam AI model docs; Paytm Payment Links and webhook docs

Autonomy the merchant can trust

Action tier	Examples	Saathi's rule
Read and explain	Daily brief, sales summary	Runs freely and cites the records it used
Draft	Stock plan, payment-link draft	Shows cost, impact and missing data; nothing leaves the app
Move money or message	Supplier order, payment link, reminder	Explicit on-screen approval, every single time
Change after approval	Shortage, price change	Re-plans and asks again; never exceeds the approved budget

Consent-first access to connected records, aligned to the DPDP Act, 2023

Checksum-signed Paytm calls; invoice closes only on verified status

Full audit log of every plan, approval and API call

A clear line between demo, staging and future

Working demo

- Ask Saathi + voice input
- Stock planning with two approvals
- Inventory + activity history
- Connection-status screen

Staging-ready

- Paytm payment-link adapter
- Signed Transaction Status checks
- Webhook handling

Simulated

- Supplier catalog and prices
- Injected shortage event
- Sample sales and stock data

Future

- Inside Paytm for Business
- POS integrations
- Settlement information
- Soundbox voice entry

2 end-to-end workflows working

8 typed tools behind every action

2 approval gates in the stock demo

4 fields checked before marking paid

⚠ Payment data alone never reveals demand, stock, product-level sales, profit or consent. Those come from billing/POS systems or merchant-provided records.

04 · USP

From conversation to completed action, safely.

Not a chatbot or a dashboard: a partner that plans, asks, acts and follows through.



Acts, not just answers
Plans, executes and tracks across payments, suppliers and stock

Evidence before advice
Every plan shows its data, cost, impact and what's missing

Merchant stays in control
Approval gate on sensitive actions, full activity history

Recovers from exceptions
Re-plans on a shortage and asks again before spending more

Built for Bharat
Hindi, Hinglish and regional languages by voice, via Sarvam AI

Measurable gains for merchants, compounding value for Paytm

Merchant metric	Today	Pilot hypothesis	How we measure
Restock planning	Shelf check + calls	Plan in under 2 minutes	In-app timestamps
Dues collection	Notebook, WhatsApp	One-tap link, faster payment	Invoice age at payment
Stockouts	Spotted on the shelf	Flagged before the weekend	Stockout events per week
Spend control	Not tracked	Zero spend above budget	Approved vs actual
Margin visibility	End-of-day guess	Daily brief with margins	Brief opens per week



For merchants

Hours back each week, better cash flow from faster dues, fewer lost sales, and decisions in their own language.

For Paytm

Daily engagement, more payment-link GMV, higher revenue per device, and richer data for merchant lending.

Hypotheses to validate in the pilot; no outcome numbers are claimed yet

06 · BUSINESS MODEL

Freemium on Paytm's device base: a Pro tier lifts revenue per device

Revenue streams

Tier	Price	Includes	Paytm gains
Free	₹0	Ask Saathi, daily brief, payment links	Engagement, link GMV
Pro	₹99/mo	Stock planning, supplier orders, POS sync	Revenue per device
Ecosystem	Take rate	Supplier-order commission, partner loans	Lending, marketplace

- ✓ Merchants already pay ₹100 to 150/month for a Soundbox
- ✓ Paytm reports softer subscription revenue per device
- ✓ Billed with the device: no new payment habit needed

Pro revenue sensitivity (₹ crore per year)

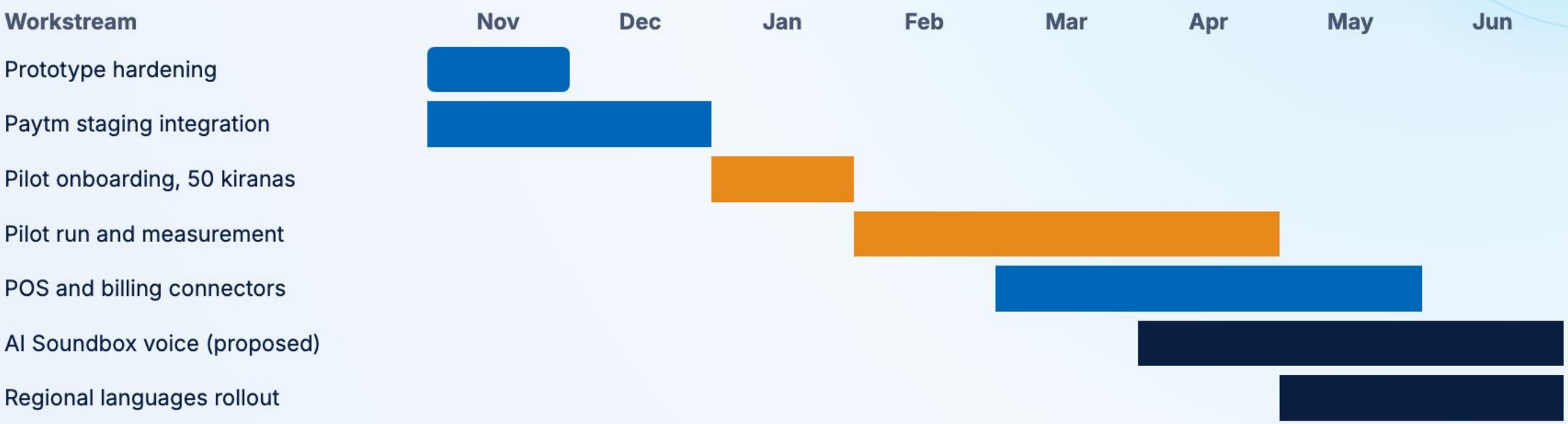
Adoption	₹49	₹99	₹149
2% · 3.3 L	19	39	59
5% · 8.2 L	48	97	147
10% · 16.4 L	96	195	293

Base: 1.64 Cr subscription merchants. Revenue = merchants × adoption × price × 12. Base case highlighted: 5% at ₹99.

⚠ Adoption and price are our assumptions

Sources: CNBC-TV18 (Q2 FY27 base); BofA via Outlook Business (Soundbox fees); Paytm Q1 FY27 release

From prototype to Paytm for Business in eight months, through one measured pilot



Build · Pilot · Scale

Milestones: Dec staging sign-off · Apr pilot readout · Jun rollout decision

DISTRIBUTION EDGE Ships as an update to merchants Paytm already serves; field agents onboard the pilot. No new device, no new app.

Proposed timeline, November 2026 to June 2027

06 · RISKS AND MITIGATIONS

We designed for the ways an agent can fail before a merchant ever sees it

Risk	Likelihood	Mitigation built into Saathi
Misheard item or amount	Medium	Read-back plus an itemised plan in numbers before any approval
LLM invents a figure	Medium	Amounts computed in code from records; plans cite every source
Wrong payment status	Low	Webhook plus signed Status API; four fields must match
Overspending	Low	Budget caps and single-use approval tokens tied to amount
Merchant data privacy	Medium	Consent-scoped access, DPDP-aligned, data stays in Paytm
Poor supplier data	High	Flags missing data; pilot starts with distributor catalogs
No Soundbox API access	Medium	In-app voice works today; the device is an upgrade path

Likelihood is our own assessment for the pilot stage

PAYTM SAATHI

Thank you

A merchant's spoken goal, turned into an evidence-backed, approved, trackable action.

TeamAIR01 IIIT Delhi

01 Prerak Tanwar
02 Garv Jain
03 Mukul Yadav



APPENDIX

Sources behind every number in this deck

Invest India
Kirana count, single-owner share

Flourish and 60 Decibels
Kirana pain-point survey

Trak.in (JP Morgan)
Quick-commerce sales pressure

Outlook Money (NPCI)
UPI volume, September 2026

IANS (Equirus)
Digital merchant payments

Paytm Q1 FY27 release
Merchants, GMV, AI agents

CNBC-TV18
Paytm Q2 FY27 merchant base

Angel One, FoneArena
Paytm AI Soundbox features

Outlook Business (SIDBI)
MSME credit gap

Outlook Business (BofA)
Soundbox rental pricing

Inc42
NPCI unified soundbox plan

Sarvam AI docs
Saaras, Bulbul, LLMs, Vision

Paytm developer docs
Payment Links, webhooks

Paytm Q4 FY26 release
Merchant growth series

Our assumptions
Pro price and adoption rates